

EQUITY RESEARCH REPORT

Infosys Limited

Prepared By: Priyraj Dhumal

Infosys Limited

Executive Summary

Target Price: ■387.36

Valuation Summary

Method	Fair Value
DCF	■14.22
Peter Lynch	■760.50
Current Price	■1127.50

- Premium Valuation
- Growth Slowdown Risk
- Global IT Spending Risk

Market Cap: ■4.56 Trillion

PE Ratio: 14.825772

Beta: 0.109

EPS: 76.05

ROE: 31.44%

Dividend Yield: 4.37%

52 Week High: ■1728.0

52 Week Low: ■1089.0

Cash: ■371 Cr

Debt: ■97 Cr

Valuation Metrics

Peter Lynch Fair Value: ■760.50

DCF Valuation

Free Cash Flow: ■317 Cr

DCF Fair Value: ■14.22

Final Rating: SELL

Current Price: ■1127.50

DCF Fair Value: ■14.22

Peter Lynch Fair Value: ■760.50

DCF Upside / Downside: -98.74%

Peter Lynch Upside / Downside: -32.55%

Key Strengths

- Strong ROE
- Healthy Profit Margins
- Strong Balance Sheet
- Consistent Revenue Growth

Key Concerns

- Premium Valuation
- Growth Slowdown Risk
- Global IT Spending Risk

Current Price: ■1127.5

Price To Book: 4.8942266

Enterprise Value: ■4.63 Trillion

Forward PE: 13.734304

Current Price: ■1127.5

DCF Upside / Downside: -98.74%

Recommendation Key: buy

Company Overview

Infosys Limited provides consulting, technology, outsourcing, and digital services worldwide. It provides digital marketing and digital workplace, digital commerce, digital experience and interactions, and metaverse; data analytics and AI, applied AI, generative AI, and sustainability; blockchain, e...

SWOT Analysis

Strengths

- Market leader in Indian IT
- High ROE and margins

Weaknesses

- Slower growth than mid-cap IT firms
- Premium valuation

Opportunities

- AI transformation demand
- Cloud migration growth

Threats

- Global recession
- Currency volatility

Investment Thesis

- Market leader in Indian IT Services
- Strong ROE and healthy profit margins
- Consistent revenue growth over time
- Strong cash position and manageable debt
- Attractive valuation relative to growth

Key Risks

- Slowdown in global IT spending
- US recession affecting client budgets
- AI disruption to traditional IT services
- Currency fluctuation risks
- Competition from Accenture, Infosys and Wipro

Peter Lynch Valuation

Upside / Downside: -32.55%

Estimated Fair Value: ■760.50

Investment Recommendation

Rating: SELL

Analyst Consensus

Wall Street Consensus: BUY

Street Rating: BUY

Relative Valuation

TCS PE: 14.83

Peer Average PE: 15.75

Valuation Status: UNDERVALUED

Peer Comparison

Company	Market Cap	PE	ROE
TCS	■7.97 T	16.19	48.40%
INFY	■4.56 T	14.83	31.44%
HCLTECH	■3.14 T	18.95	23.36%
WIPRO	■1.92 T	14.55	15.44%

Financial Health Scorecard

ROE: PASS

Profit Margin: PASS

Revenue Growth: PASS

Debt Position: PASS

Overall Score: 4/4

Trend Analysis

Revenue Growth (Multi-Year): 8.60%

Average Profit Margin: 16.63%

Overall Trend Rating: POSITIVE

Investment Scorecard

Financial Health Score: 4/4

Trend Analysis: POSITIVE

Peter Lynch Fair Value: ■760.50

DCF Fair Value: ■14.22

Overall Investment Score: 1/7

FINAL RATING: SELL

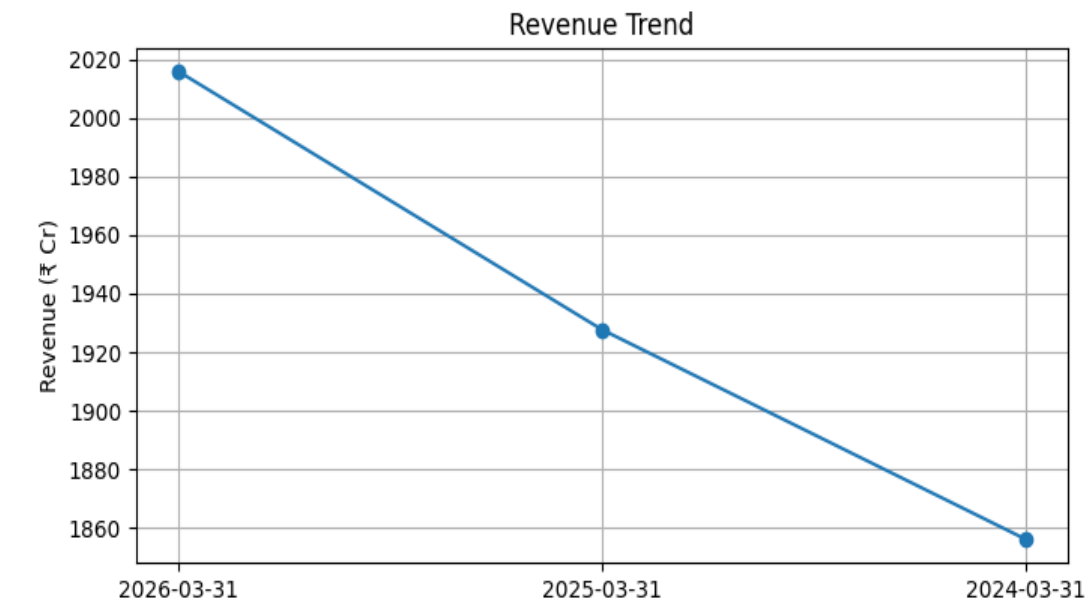
Financial Performance

Year	Revenue	Net Income	Profit Margin %	Revenue Growth %
2026-03-31	■2,016 Cr	■331 Cr	16.44	4.57
2025-03-31	■1,928 Cr	■316 Cr	16.38	3.85
2024-03-31	■1,856 Cr	■317 Cr	17.06	1.92

5 Year Stock Price Chart



Revenue Trend



Net Income Trend

